Mosquito Authority

Franchise Decision Report

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Executive Summary

Mosquito Authority is the lowest-cost franchise in the mosquito pest control cohort by a significant margin — both to enter and to operate. At $300K gross revenue, annual franchisor fees total $52,800 (17.6% of revenue), roughly $25,000–$33,000 less than any competitor. The system is the largest in the cohort (546 franchised outlets) with zero terminations across the 2022–2024 reporting window — the cleanest system health profile of any brand reviewed.

The biggest risk is latent, not current: the franchisor reserves the right to implement a national marketing fee of up to 3% of Gross Revenues at any time, which would add $6,000–$15,000/year. The predecessor entity's regulatory history (5 state actions for selling without registration) is real but pre-dates current ownership. Disclosure quality is strong, with a rich Item 19 — though a `#REF!` spreadsheet error and minor population mismatches are quality blemishes worth noting.

Fee Burden Analysis

Mosquito Authority has the lightest ongoing fee burden at every modeled revenue level. The primary driver is marketing: Authority's local ad minimum ($5,500 or 5%) is 4–7× lower than competitors' mandatory marketing floors ($37,500–$75,000+).

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$20,000	$10,000	$6,600	**$36,600**	18.3%	1/5
$300,000	$30,000	$15,000	$7,800	**$52,800**	17.6%	1/5
$400,000	$40,000	$20,000	$9,000	**$69,000**	17.2%	1/5
$500,000	$50,000	$25,000	$10,200	**$85,200**	17.0%	1/5

Component breakdown

- **Royalty (10% flat):** Mid-cohort rate. Minimum monthly fee ($700/mo by Year 7+) never exceeds the percentage at modeled revenue levels. (p. 15)
- **Marketing ($5,500 or 5%):** Proportional to revenue with a low floor. No active national fund. This is why Authority's total burden is so much lower — competitors pay $37K–$75K in fixed marketing obligations that hit hardest at low revenue. (pp. 15, 19–20)
- **Technology ($100–$1,200/mo, tiered):** Jumps in $100/mo steps per $50K revenue bracket. At $300K: $400/mo ($4,800/yr). At $500K: $600/mo ($7,200/yr). The escalation is predictable but not obvious from the headline rate. (pp. 16, 21)
- **Website/digital ($250/mo):** Fixed. Covers local site, SEO, review tools. (p. 15)

> **What this means:** At $300K revenue, you keep ~$247K after franchisor fees. The next cheapest brand (Mosquito Squad) leaves you ~$222K. That $25,000/year gap compounds over a 10-year franchise term into a quarter-million dollars of difference in retained earnings.

> **LATENT RISK — UNIMPLEMENTED NATIONAL MARKETING FEE**
>
> The FDD reserves the right to implement a national marketing fee of up to 3% at any time, adding $6K–$15K/year. No timeline or conditions are specified. If activated, Authority's burden rises to 20–21% of revenue — still lowest in cohort, but the gap narrows significantly. (p. 15, Note 4)

Item 19 Interpretation

Authority's Item 19 is the second-richest in the cohort, providing both a company-owned P&L and detailed franchised revenue distributions. This is more than most competitors offer — but it requires careful interpretation.

Company-owned P&L (Part 1)

One company-owned territory in Hickory, NC, operating since 2009. Full P&L for 2023 and 2024:

- Revenue: $374,420 (2023), $384,192 (2024)
- EBITDA: $71,691 (2023), $52,578 (2024)
- **Net income: −$6,852 (2023), −$30,411 (2024)**
  The negative net income is driven by $60,000/year in amortization. Before amortization and depreciation, the location is profitable. But the EBITDA decline from $72K to $53K is a real signal — expenses grew faster than revenue.

What to be careful about: This is a single location that has operated for 15+ years. It pays 10% royalty and ~10% in advertising (matching franchisee obligations). It is not representative of a new operator's first years. The manager salary ($48K/year) is included in expenses — if you operate the business yourself, that cost becomes your draw, changing the economics significantly.

Franchised revenue (Part 2)

Average gross revenue of $464,600 across 128 qualifying franchisees (506 territories). But this is **per franchisee, not per territory**. The average qualifying franchisee owns approximately 4 territories. A single-territory operator should not assume $465K revenue.

The revenue-by-years-active breakdown is more useful: franchisees with "at least 2 full seasons" average $149,470 (median $97,460). Those with 4+ seasons average $192,574. Revenue grows meaningfully with tenure, but the early years are significantly lower than the headline average suggests.

What's missing

No franchised cost data or profitability. No per-territory revenue. The `#REF!` error in the 10+ Full Seasons cell (p. 55) means the most experienced cohort's average is missing from the filed document.

> **What this means:** You can estimate likely gross revenue from the years-active data ($100K–$190K in early years, growing with tenure), but you cannot estimate profitability from this FDD alone. The company-owned P&L gives cost ratios but from a 15-year mature location that is not representative of a new operation. You will need to build your own expense model or talk to current franchisees.

Investment Breakdown

Lowest in the cohort: $54,000–$127,700. The range is wide because two variables swing it: franchise type (Hometown $25K vs Full-Size $45K) and vehicle ($0 if you own a qualifying truck, $30K if not).

CATEGORY	LOW	HIGH
Initial Franchise Fee	$25,000	$45,000
Pre-Opening and First Year Marketing Package	$15,000	$25,000
Transportation Expenses During Initial Training	$1,000	$1,500
Computer Hardware and Technology Fees	$1,000	$2,000
Opening Inventory	$2,500	$5,000
Storage Facility for inventory and equipment	$0	$200
Vehicle	$0	$30,000
Customer Service Vehicle Outfitting Package	$4,000	$5,000
Insurance (annual premium)	$2,500	$4,000
Additional Funds for first three months of operation	$3,000	$10,000
Total	**$54,000**	**$127,700**

What to know about the major line items

- **Franchise fee ($25K–$45K):** Franchisor will defer up to 50% at 8% over 36 months — unusual flexibility. Some 2024 sales at $31.5K–$35K suggest room to negotiate. (p. 13)
- **Pre-opening marketing ($15K–$25K):** Mandatory branded package. May be reduced if existing franchisees operate nearby. At the low end, this is nearly 28% of total investment. (p. 22)
- **Vehicle ($0–$30K):** Late model white full-size pickup. Own one already and this entire line disappears — it's the single biggest swing factor in the range. (p. 22)
- **Working capital ($3K–$10K):** Only 3 months, which is conservative for a seasonal business with near-zero winter revenue. Plan for personal reserves beyond this. (p. 23)

> **What this means:** A buyer with a qualifying vehicle and the Hometown tier can realistically enter for ~$54K cash (or ~$41K with the fee deferral). A Full-Size buyer needing a vehicle is closer to $100K+. The investment range is real — your actual number depends on decisions you control.

System Health

Most stable system in the cohort. Modest growth every year (+5, +10, +7) with no rapid-open/rapid-close churn. For context: Mosquito Shield grew +140 in the same period but lost 128 outlets to terminations and closures. Authority grew +22 and lost 17. Different kind of growth.

YEAR	OPENED	CLOSED	NET	END COUNT
2022	7	2	+5	529
2023	14	7	+10	539
2024	18	10	+7	546

Zero terminations

No franchisee was terminated across the entire 3-year window — unique in this cohort. Closures are limited to ceased operations (2, 7, 7) and 3 non-renewals in 2024 (the first in the reporting period). Small numbers against 530+ outlets.

> **What this means:** The franchisor is not aggressively culling underperformers, and franchisees are not walking away. In a cohort where one competitor terminated 65 outlets in a single year, this stability is a meaningful differentiator.

Active resale market

37, 29, 37 transfers per year (~7% of system). In a system with zero terminations, transfers mean ownership changes with the outlet staying open. People are buying these franchises from existing owners — a signal that the business has resale value.

Minimal company-owned footprint

One location (Hickory, NC). A second (West Chester, PA) was briefly company-owned in 2023–2024, then sold back. The franchisor is not competing with its franchisees.

Risk Signals

Predecessor regulatory history

Five concluded actions — all against predecessor TMA Franchise Systems, Inc., not the current entity (Main Line Brands LLC, formed 2020):

- Maryland (2013): selling without registration
- Rhode Island (2013): selling without registration, $5K penalty
- Virginia (2015): selling without registration, $20K penalty
- Wisconsin (2016): selling without registration, $10K penalty
- Washington (2020): Assurance of Discontinuance (inherited)

Same violation, five states, seven years. This was systemic, not accidental. Under current ownership (since 2020): zero regulatory actions.

> **What this means:** The predecessor had a genuine compliance problem. The current entity appears clean, but the brand's regulatory history is disclosed in every FDD and will surface in any attorney review. Ask the franchisor directly what changed operationally — not just whether new management was installed.

Document quality

A `#REF!` spreadsheet error in Item 19 (p. 55) and minor population mismatches (129/508 vs stated 128/506). Quality blemishes in the filing, not fabrication signals — but worth noting in a document underlying a six-figure decision.

Entity and ownership

PE-backed (Susquehanna Private Capital). Straightforward entity structure relative to competitors — notably simpler than Mosquito Joe's 6-layer SPV chain. All five brands in this cohort are PE-backed; this is industry-standard.

Peer Context

Authority is the only brand in this cohort where you can enter for under $60K, operate with fees under 18% of revenue, and look at a system with zero terminations. It is not the most transparent (Squad's Item 19 is richer) or the fastest-growing (Shield added +140 units). But it is the lowest-risk, lowest-cost option by a clear margin.

Closest comparison: Mosquito Squad. Similar age, both PE-backed, both with solid disclosure. Squad has better unit economics data ($484K/territory) and the best company-owned P&L ($20.8M, 25.9% margin) — but costs 2× more to enter and $25K/year more to operate at $300K revenue.

Sharpest contrast: Mosquito Shield. Opposite profiles. Shield has the fastest growth (+140) but highest churn (65 terminations in 2023). Lowest royalty (8%) but highest local ad floor ($50K). Authority has higher royalty (10%) but the lowest total burden by far.

METRIC	MOSQUITO AUTHORITY	MOSQUITO HUNTERS	MOSQUITO JOE	MOSQUITO SHIELD	MOSQUITO SQUAD
System size	546	135	415	435	226
Investment range	$54K–$127K	$141K–$170K	$150K–$192K	$120K–$157K	$162K–$220K
Fee burden at $300K	$52,800	$80,300	$84,752	$86,000	$77,880
% of revenue	17.6%	26.8%	28.3%	28.7%	26.0%
3-year net growth	+22	+8	+43	+140	+3
2024 attrition	1.8%	0.0%	5.7%	11.1%	4.3%
Royalty rate	10%	10%	10/7%	8%	10/9/8%

Questions for Discovery Day

These questions are derived from specific findings in the Mosquito Authority 2025 FDD. They are designed to surface information the FDD does not fully explain.

1. The FDD reserves a national marketing fee of up to 3%. Under what conditions would you implement it, and what timeline are you considering?

FDD p. 15, Note 4. Not yet active but could add $6K–$15K/year.

2. The company-owned location in Hickory showed declining EBITDA ($72K to $53K) and negative net income both years. What's driving that trend?

Item 19 Part 1, pp. 51–52. Net income –$6.8K (2023), –$30.4K (2024).

3. The Item 19 average gross revenue ($464,600) is per franchisee, not per territory. What is the average revenue for a single-territory operator?

Item 19 Part 2, p. 53. Average franchisee owns ~4 territories.

4. There are 3 non-renewals in 2024 — the first in the 3-year reporting period. What happened?

Item 20, Table 3, p. 56. Zero non-renewals in 2022–2023.

5. The predecessor entity (TMA) had regulatory actions in 5 states for selling without registration. What specifically changed in the compliance process under Main Line Brands?

Item 3, pp. 11–13. Actions in MD, RI, VA, WI, WA (2013–2020).

6. The technology fee tiers go up to $1,200/month at $1.05M+ revenue. Is there a cap, or will additional tiers be added?

Item 6, Note 10, p. 21. 12-tier schedule from $100–$1,200/month.

7. There's a #REF! error in the Item 19 table for 10+ Full Seasons franchisees. Can you provide the corrected average?

Item 19 Part 2, p. 55. Spreadsheet formula error in filed FDD.

8. What does the Hometown Franchise ($25K fee, smaller territory) look like in practice? How does revenue compare to Full-Size territories?

Item 5, p. 13. 62 Hometown franchises as of end 2024.

9. The West Chester, PA company-owned location was acquired in 2023 and sold back in 2024. What happened?

Item 20, Table 4, pp. 63–64. Short-lived company ownership.

10. Transfer volume is ~37/year (7% of system). Are these primarily retirements, upgrades to multi-territory, or something else?

Item 20, Table 2. 37 transfers in 2022, 29 in 2023, 37 in 2024.

Source & Methodology

Source document: Mosquito Authority 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. 232-page regulator-source PDF. SHA-256: `b3c79bd51cd531ec6e5c34297acd7118ba47d8a9418c1d5fec18c150fd4ab980`

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-

checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. See fee_modeling_framework.md for full methodology.

Peer comparison: Same methodology applied to all 5 brands in cohort (Mosquito Authority, Mosquito Hunters, Mosquito Joe, Mosquito Shield, Mosquito Squad). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision.